IN THE NATIONAL COMPANY LAW TRIBUNAL
DIVISION BENCH, CHENNAI

CP/24 & 25/CAA/2019
In
CA No/162 & 163/CAA/2018

Under section 230 to 232 of the Companies Act, 2013

In the matter of Scheme of Arrangement
Between
M/s. SUNDARAM AUTO COMPONENTS LIMITED
(CIN: U29249TN1992PLC051417)
(Demerged Company)
With
M/s. TVS MOTOR SERVICES LIMITED
(CIN: U50404TN2009PLC071075)
(Resulting Company)
And
Their Respective Shareholders and Creditors

Order delivered on: 13.02.2019

Coram:
B. S.V. PRAKASH KUMAR, MEMBER (JUDICIAL)
S. VIJAYARAGHAVAN, MEMBER (TECHNICAL)

For the Petitioners: Shri. N.P. Vijay Kumar, Advocate
Shri. R. Pradeep, Advocate

ORDER

Per: B. S.V. PRAKASH KUMAR, MEMBER (JUDICIAL)

Order pronounced on: 13.02.2019

Under Consideration are two Company Petition nos. CP/24/CAA/2019 and CP/25/CAA/2019 filed under section 230 of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules 2016. The instant Company Applications in

the matter of the Scheme of Arrangement (Demerger) by virtue of which of *"Automobile Business"* undertaking of *M/s. Sundaram Auto Components Limited* (hereafter refereed as **"Demerged Company"**) and *M/s. TVS Motor Services Limited* (hereafter referred as **"Resulting Company"**).

2. The Authorised and issued, subscribed & paid up share capital of the Demerged Company and the Resulting Company and secured/ unsecured creditors as on 31.03.2018 are as under:

Particulars	**Authorized Capital**	**Issued & paid-up Capital**	**Equity Share-holders**	**Secured Creditors**	**Unsecured Creditors**
Demerged Company	Rs. 40,00,00,000	Rs. 35,92,50,000	7	5	752
Resulting Company	Rs. 625,00,00,000	Rs. 618,01,00,000	7	Nil	1

3. The Demerged Company viz., M/s. Sundaram Auto Components Limited, is an Unlisted Public Limited Company, it was incorporated on 10.06.1992, under the Companies Act, 1956, having its registered office at "Jayalakshmi Estates" No. 29, Haddows Road, Chennai-600006. The Demerged Company is a Wholly Owned Subsidiary of M/s. TVS Motor Company Limited and 100% of the equity shares are held by the TVS Motor Company Limited. The Demerged Company is engaged *inter-alia* in the business of development and manufacture of best in class moulded plastic components and assemblies for different application areas in

automotive segment and non-automotive applications and or engine parts/components required for motorcycles, mopeds and scooters and research activities, pertaining to automotive industries and making investment in entities carrying on allied business operations and power generation etc.

4. The Resulting Company viz., M/s. TVS Motor Services Limited is an unlisted Public Limited Company, it was incorporated on 23.03.2009, under the Companies Act, 1956. The Resulting Company is a Wholly Owned Subsidiary of M/s. TVS Motor Company Limited and 100% of the equity and preference shares are held by the M/s. TVS Motor Company Limited. The Resulting Company is engaged *inter-alia* in all kinds of automobiles, motor cars, lorries, trucks, tractors, trailers, dumpers, heavy duty vehicles etc. The Board of Directors of the Demerged Company and Resulting Company vide their resolutions dated 26.04.2018 and 14.05.2018 respectively approved the said scheme of Arrangement.

5. This Bench vide its order dated 11.09.2018 passed in CA/162 /CAA/2018 for the convening and holding of the meeting of the Equity shareholders of the Demerged Company was dispensed with. In relation to Demerged Company, this bench has directed to conduct a meeting of the Secured Creditors and unsecured Creditors carrying outstanding more than Rs. 10,00,000/-. All the 3 secured creditors, who attended the

meeting, unanimously voted in favour of the scheme of arrangement without any modification. These 3 secured creditors represent Rs. 70.05 Crores which is 80% of the total outstanding secured credit Rs. 87.35 Crores. All the 7 unsecured creditors, who had attended the meeting, unanimously voted in favour of the scheme of arrangement. These 7 unsecured creditors represent Rs. 48.96 crores which is 30% of total outstanding unsecured credit of 164.36 crores and represent 39% of the unsecured creditors whose outstanding were more than Rs. 10 lakhs (Rs.124.67 Crores). The Demerged Company secured creditors and unsecured creditors were present at the meeting in person or by proxy voted in favour of the scheme and the resolution presented at the meeting was approved unanimously and the Chairman's Report has also been filed in this regard.

6. This Bench vide its order dated 11.09.2018 passed in CA/163 /CAA/2018 for the convening and holding of the meeting of the Equity and Preference shareholders, secured creditors and unsecured creditors of the Resulting Company was dispensed with. The Resulting Company has no secured creditors and one unsecured Creditor has furnished the consent affidavit to whom the company owes 93.58%. The value of the consenting of unsecured credit is Rs. 140.8 crores for dispensed with meeting of the unsecured creditors. The Petitioner Companies have complied with all the orders passed by the Bench.

7. On perusal of the rationale of the scheme of Arrangement, the Board of Directors of the Demerger Company and Resulting Company are of the view the scheme of Arrangement will enable both the Demerged Company and the Resulting Company to achieve and fulfil their objectives more efficiently, permitting grater management focus on the respective businesses ensuring economic operations and the same is also in the interest of all the stakeholders; as per this scheme of arrangement of the Demerged Company and Resulting Company have agreed, as part of a single composite transition which is as follows;

   i. To demerge the Automobile business of the Demerged Company and to transfer and vest the same in the Resulting Company.

   ii. To issue and allot by the Resulting Company of its fully paid equity shares to the shareholders of the Demerged Company on the record date.

   iii. To undertake the foregoing to achieve the business purposes of, inter alia, permitting to greater management focus on the respective business.

8. In this Scheme of Armament, there are no investigation proceedings are pending against the Companies Act, 1956 and or the Companies Act, 2013 or by the Registrar of the Companies, Tami Nadu.

9. The Regional Director, Southern Region (In short, '**RD**') in its Report Affidavit (for brevity, '**Report**') dated 28.11.2018 submitted that as per

records of ROC, Chennai, the Demerged Company and Resulting Company are regular in filing their statutory returns and no investigation is pending against the company. It is further submitted that as per para 7 of part-II of the scheme of the companies provide for the protection of the interest of the employees/staff of the Demerged undertaking. The RD has decided not to make any objection to the Scheme and submitted that the petition may be disposed of on merits.

10. Further perusal of the scheme shows that the accounting treatment is in conformity with the established accounting standards. In short, there is no apprehension that any of the creditors would lose or be prejudiced if the proposed scheme is sanctioned. The said Scheme of Arrangement will not cast any additional burden on the stakeholders and also will not prejudicially affect the interests of any class of the creditors in any manner. **The Appointed date of the said Scheme is 01st April, 2018.**

11. The Petitioner companies has filed an Affidavits, stating that the merged entity were in it has been deposed that the provisions of section 4 & 5 of the Competition Act are not attracted and applicable to proposed arrangement between the Demerged Company and the Resulting Company, as the combined turnover nor net worth of the entity do not fall within the limits stipulated under section 5(c) of the Competition Act, 2002.

12. The scheme does not require any modification as it appears to be fair and reasonable, not contrary to public policy and also not violative of any provisions of law. All the statutory compliances have been made under section 230 to 232 of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016. The Scheme of Arrangement between the Demerged Company and the Resulting Company was duly approved by the shareholders of respective companies and it is their wisdom to demerge. Taking into consideration all the above, the Company Petitions are allowed and the scheme of Arrangement of Demerger annexed with the petition is hereby sanctioned which shall be binding on all the members, creditors and shareholders.

13. While approving the scheme as above, we further clarify that this order will not be construed as an order granting exemption from payment of stamp duty or taxes or any other charges, if payable, as per the relevant provisions of law or from any applicable permissions that may have to be obtained or, even compliances that may have to be made as per the mandate of law.

14. The Company to the said Scheme or other person interested, shall be at liberty to apply to this Bench for any direction that may be necessary with regard to the working of the said Scheme. The Petitioner Company

do file with the Registrar of Companies the certified copy of this Order within 30 days of the receipt of the order.

15. The Order of sanction to this Scheme shall be prepared by the Registry as per the format provided under the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 as has been notified on 14th December, 2016.

16. Accordingly, the Scheme annexed with the petitions stands sanctioned and CP/24 & 25/CAA/2019 stands disposed of.

S. VIJAYARAGHAVAN
MEMBER (Technical)

B. S. V. PRAKASH KUMAR
MEMBER (Judicial)

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